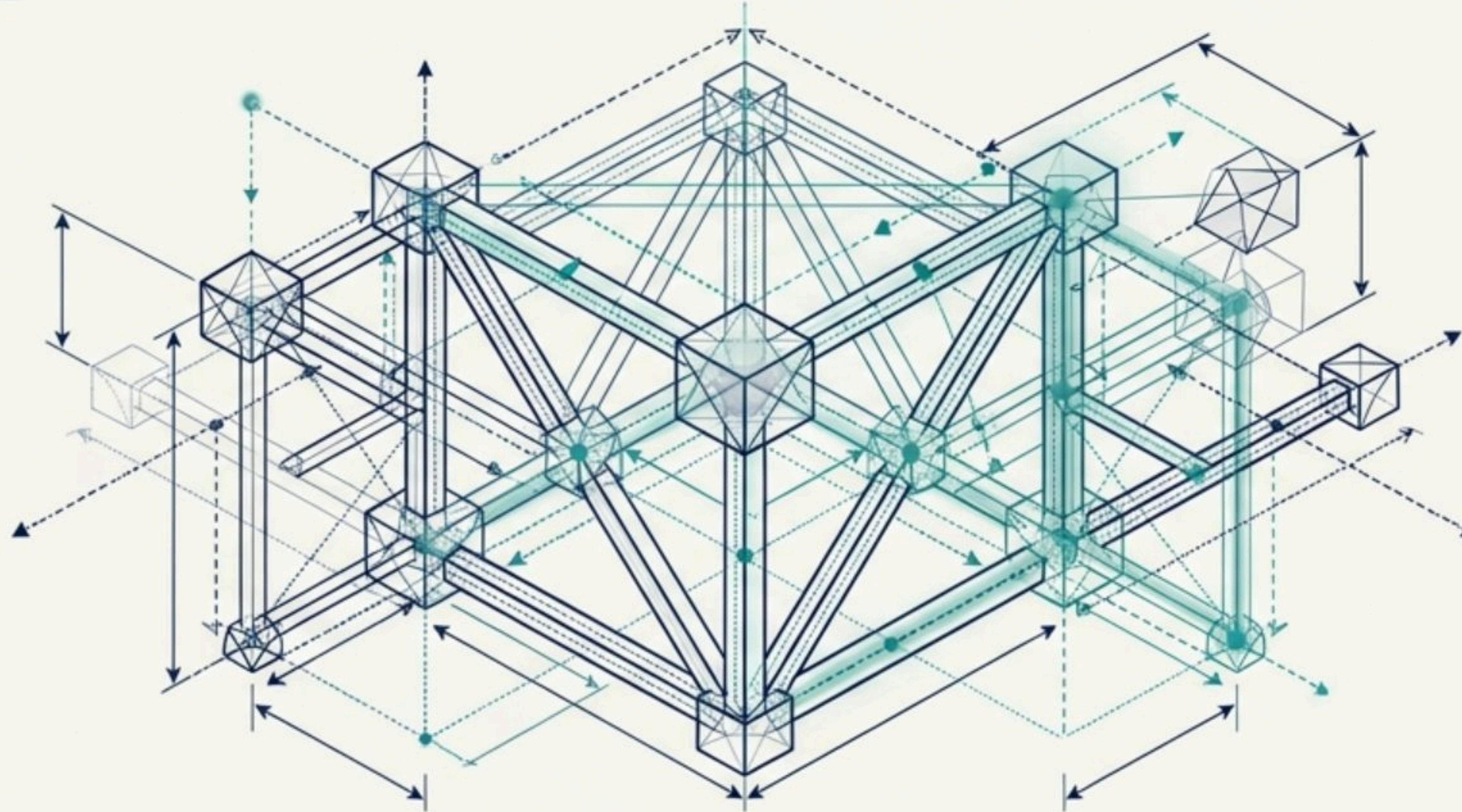
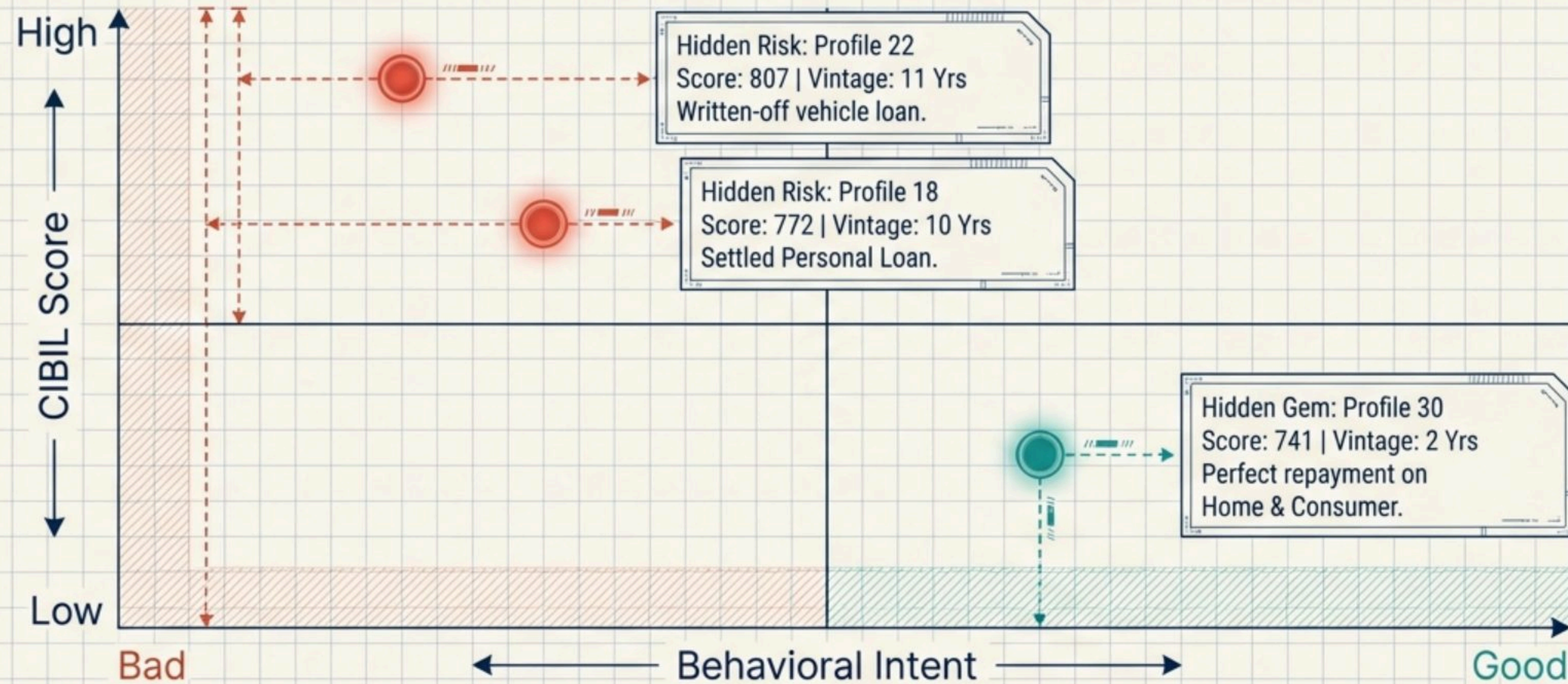


The Behavioral Blueprint: Decoding Tier-2 Credit Risk



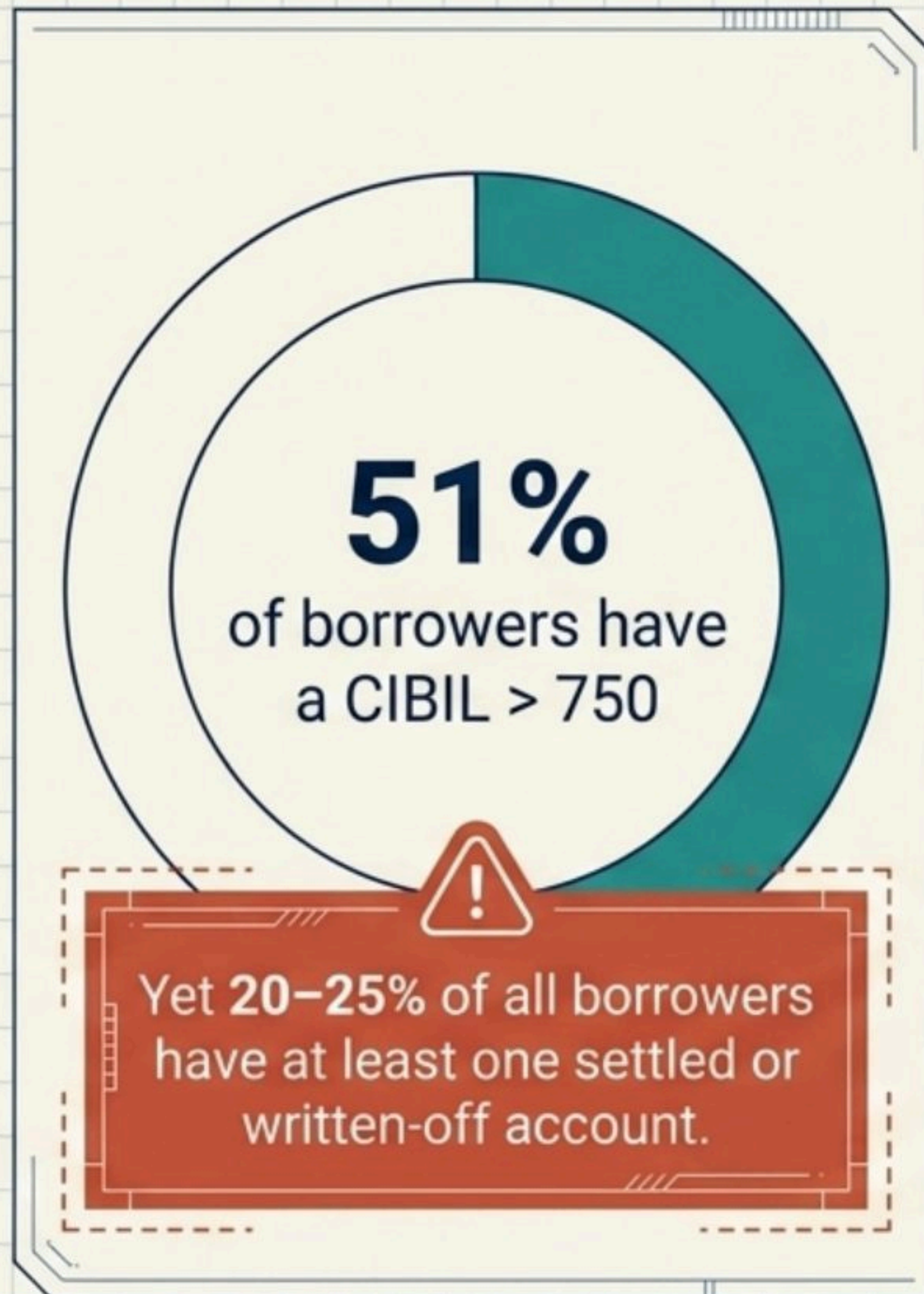
Why CIBIL scores fail in emerging markets, and how behavioral underwriting captures the actual ground truth of Indian borrowers.

The Bureau Illusion: High Scores Can Hide High Risks

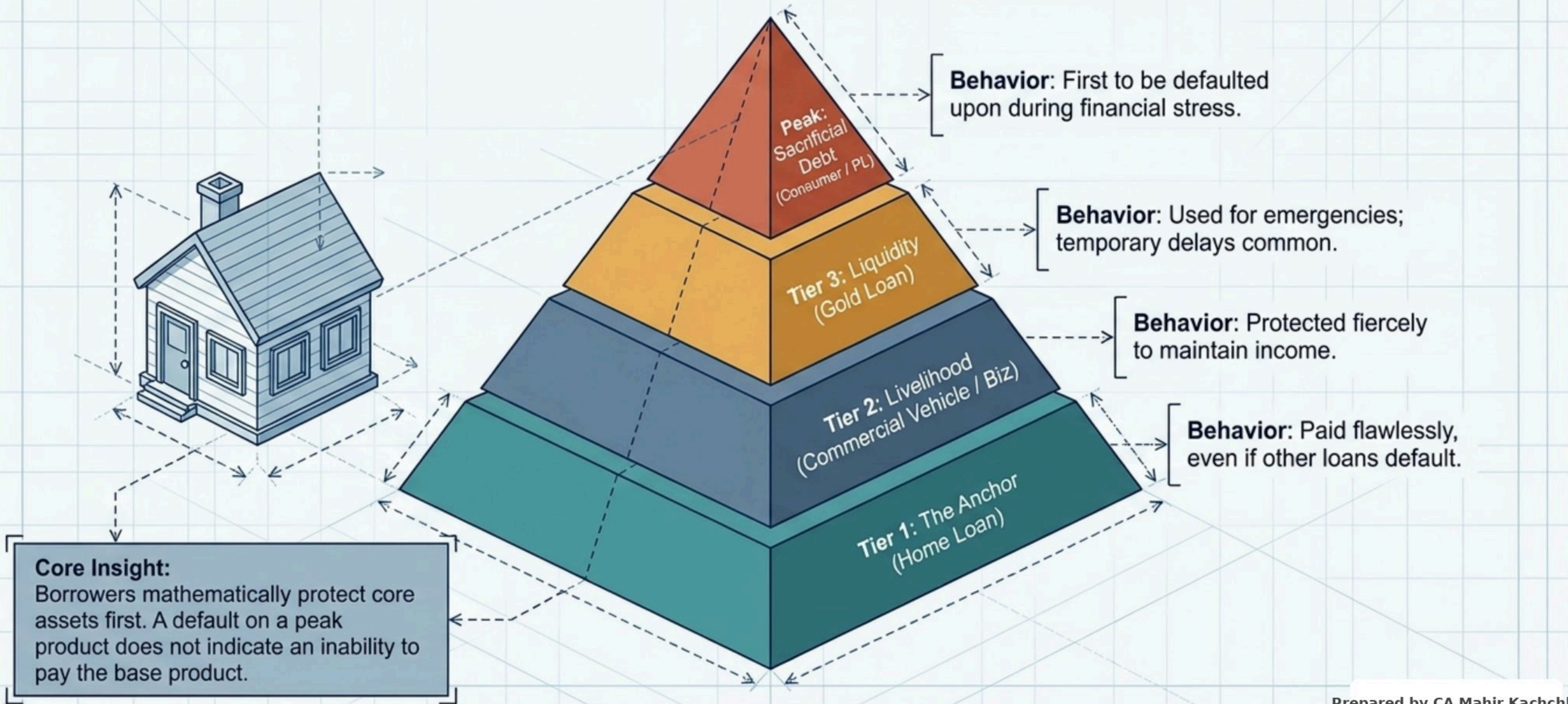


Strategic Imperative: A CIBIL score should contribute **only 20–30%** to the underwriting decision. The remaining 70% must be driven by behavioral trends.

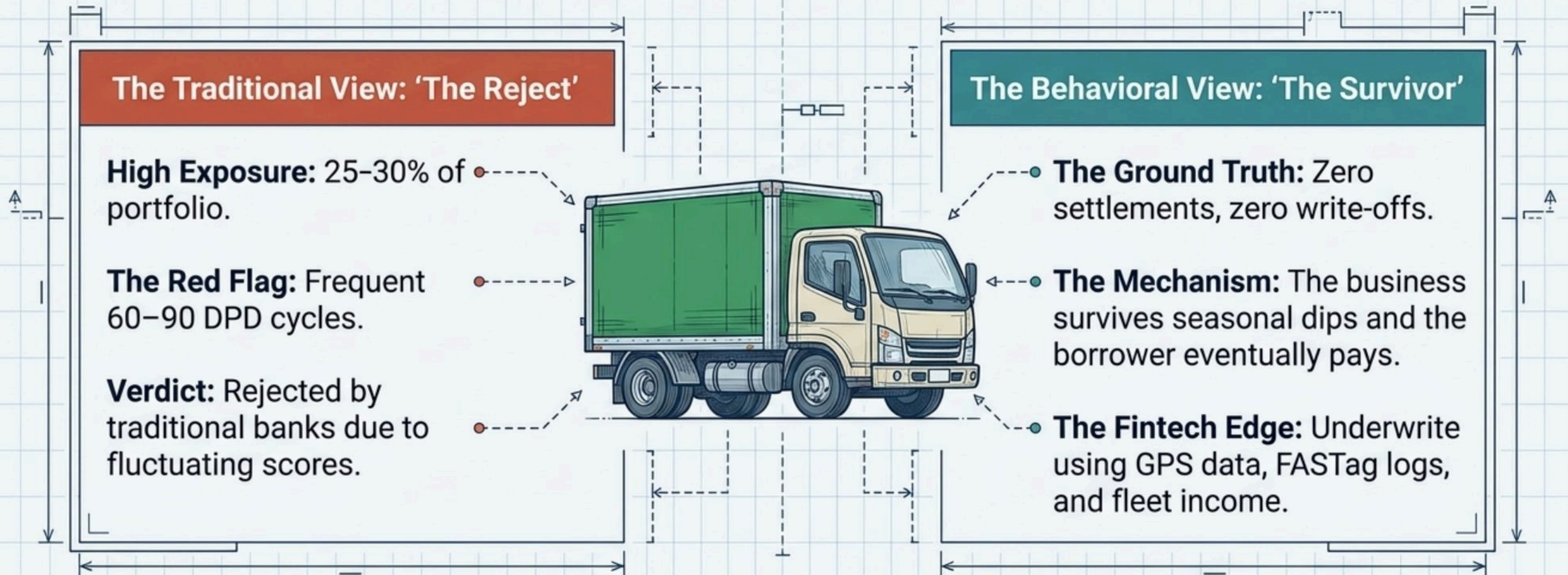
The Ground Truth of Tier-2 Borrowers



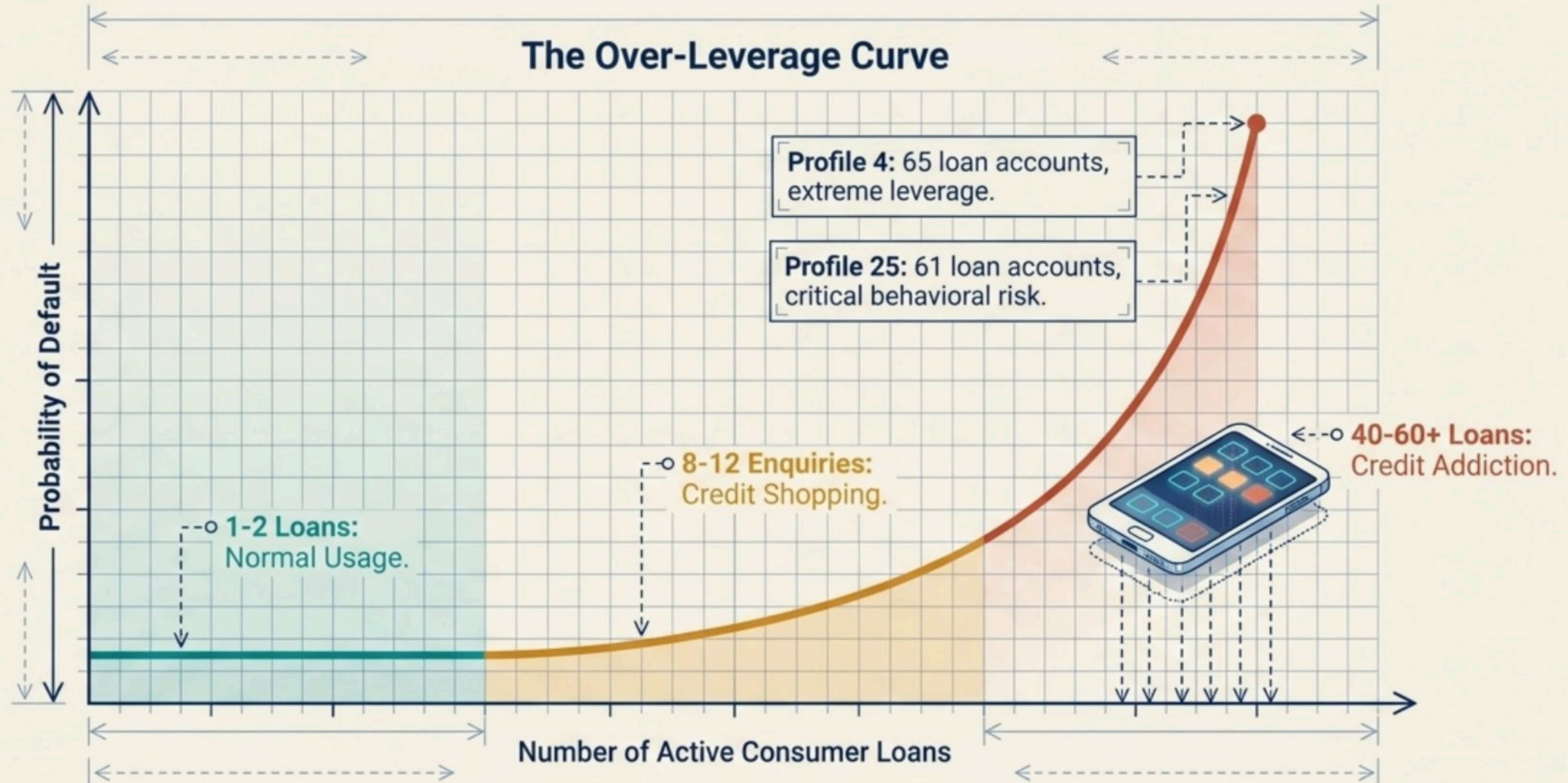
The Repayment Psychology Pyramid



The Cash-Flow Paradox: Commercial Vehicle Borrowers



The Primary Danger: Frictionless Over-Leverage

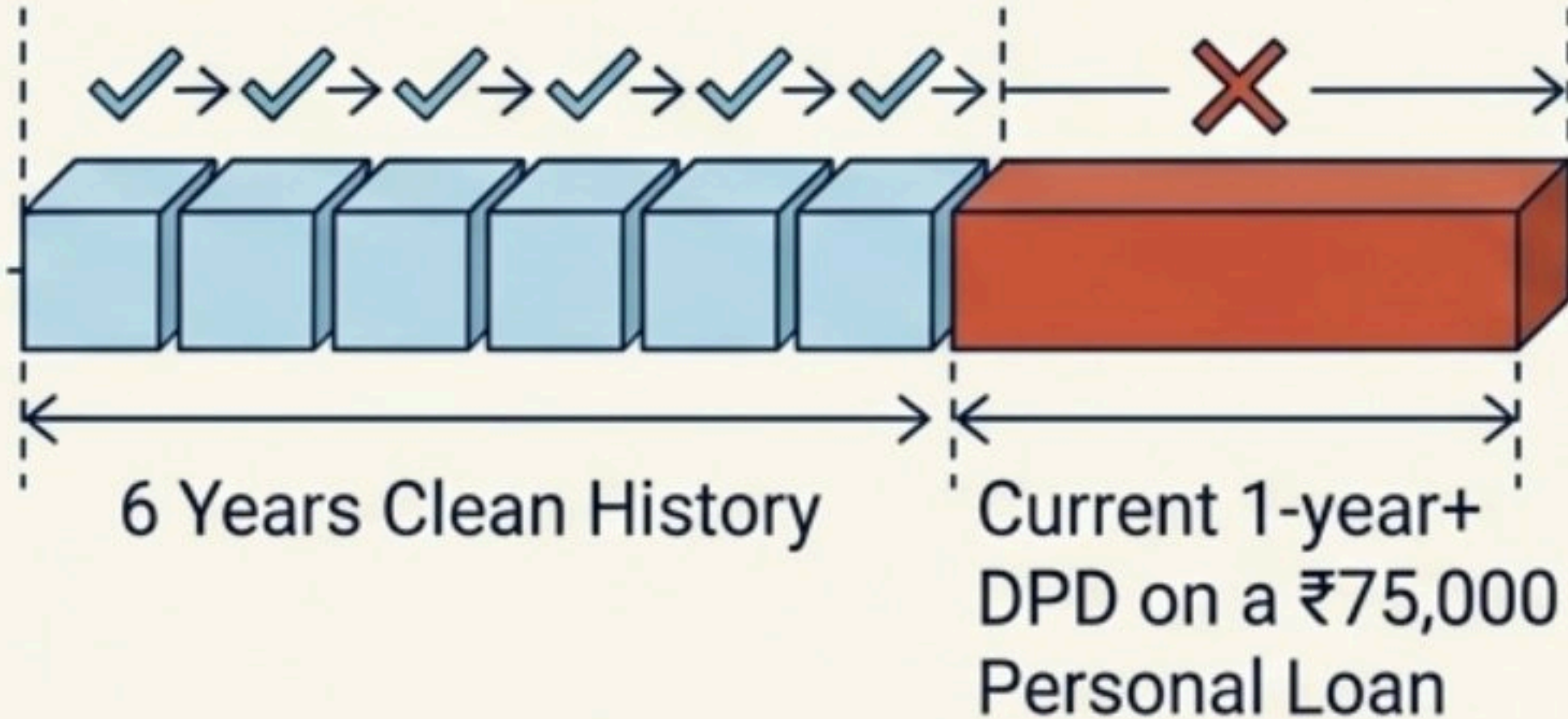


Fintech Rule: Monitor the frequency and gap between loans. Transition from a 'Credit Score' to a 'Borrowing Capacity Score'.

Financial Capacity vs. Behavioral Intent

Diagnosis: Genuine Capacity Stress

Profile 12 | Score 539 | 8 Yrs Vintage



→ **Action:** Decline until regularized. This is a lack of funds, not intent.

Diagnosis: Bad Intent / The Micro-Default

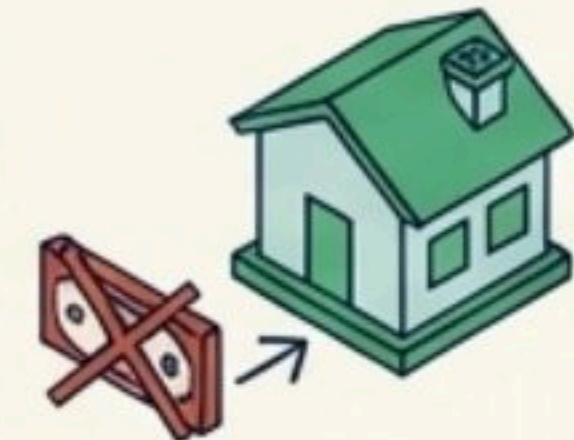
Profile 8 | Score 682

Wrote off merely ₹2,200.



Profile 10 | Score 484

Defaulted on ₹1,200 while flawlessly paying a massive home loan.



→ **Action:** Hard Decline. A micro-default is never about a lack of funds.

Core Insight: A micro-default (₹1,000 - ₹2,000) is a behavioral indicator of future repayment attitude. **Behavior > Amount.**

The Vintage Stabilization Timeline

Zone 1: The Volatile Red Zone

(17% of portfolio)

Highest risk of micro-defaults. Young borrowers lack understanding of CIBIL consequences.

Example: Profile 5 (1 yr vintage, unpaid ₹10k loan due to ignorance).

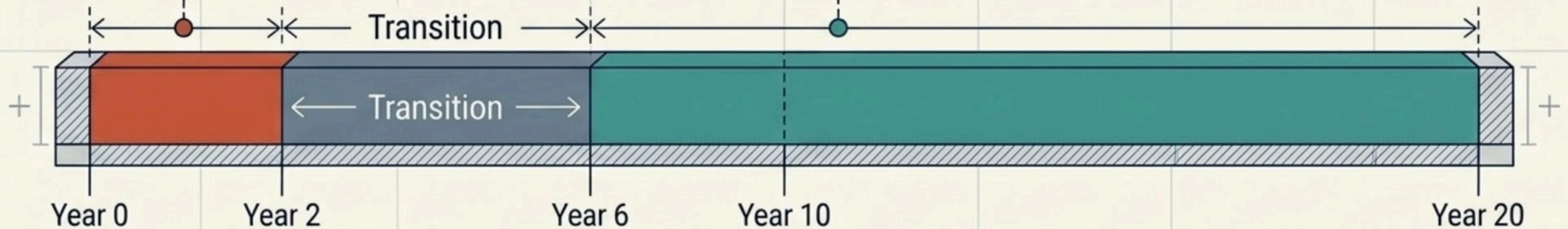
Action: Build native CIBIL education.

Zone 2: The Stable Green Zone

(63% of portfolio)

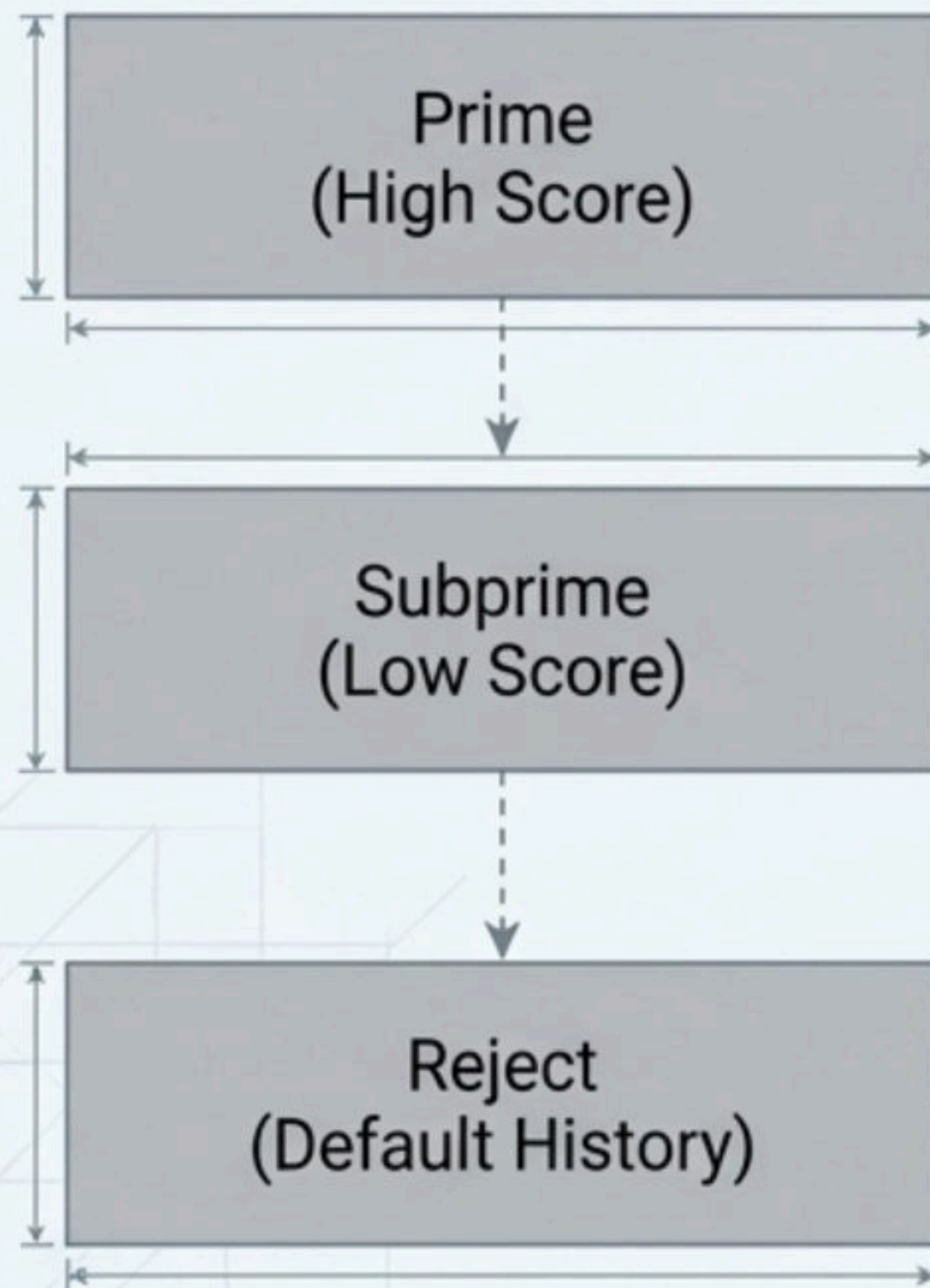
Asset accumulation phase. Borrowers recover from DPD to protect long-term assets.

Example: Profile 21 (20 yrs vintage, isolated 60 DPDs but inherently stable).

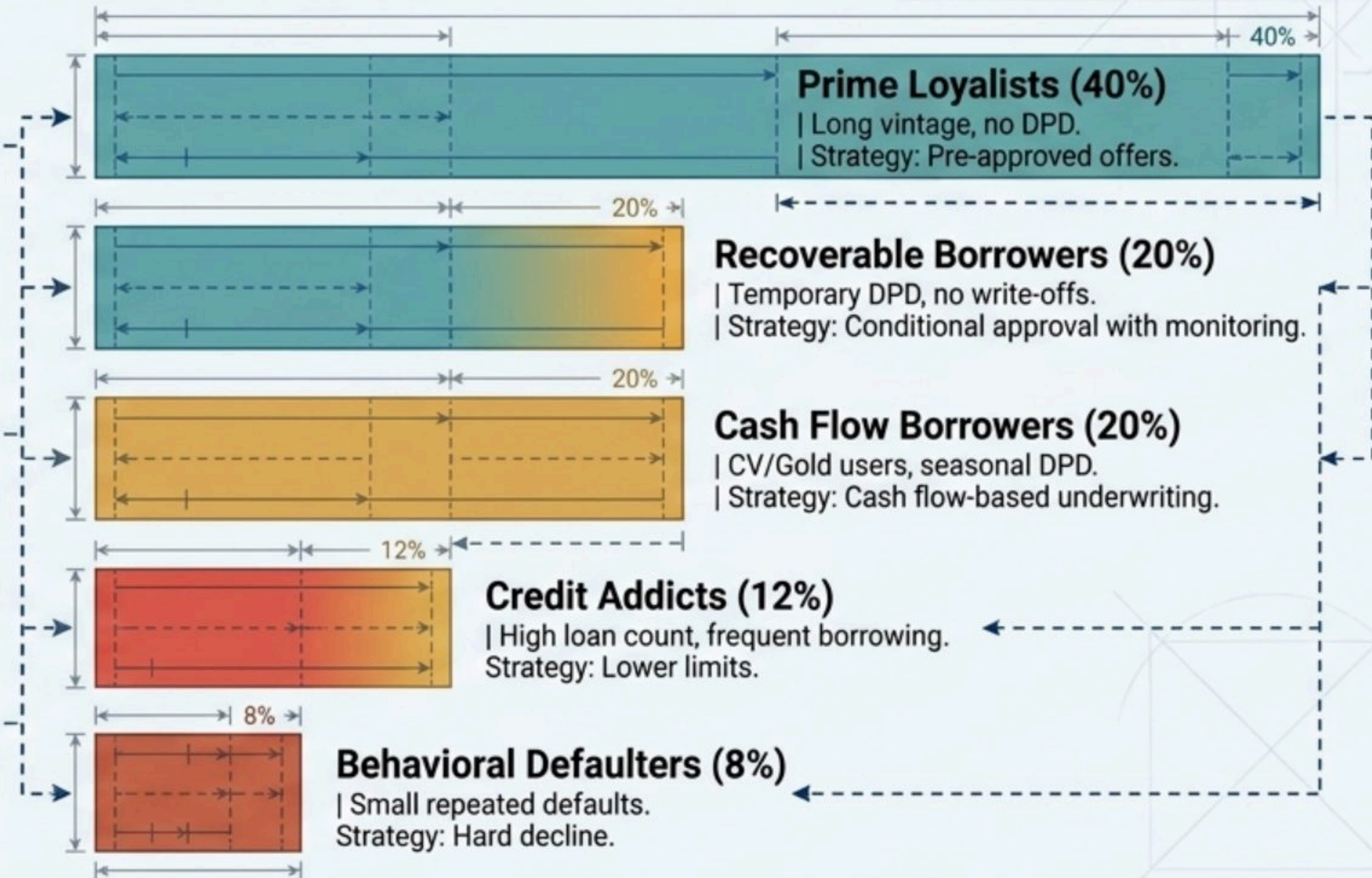


A Modern Behavioral Segmentation Framework

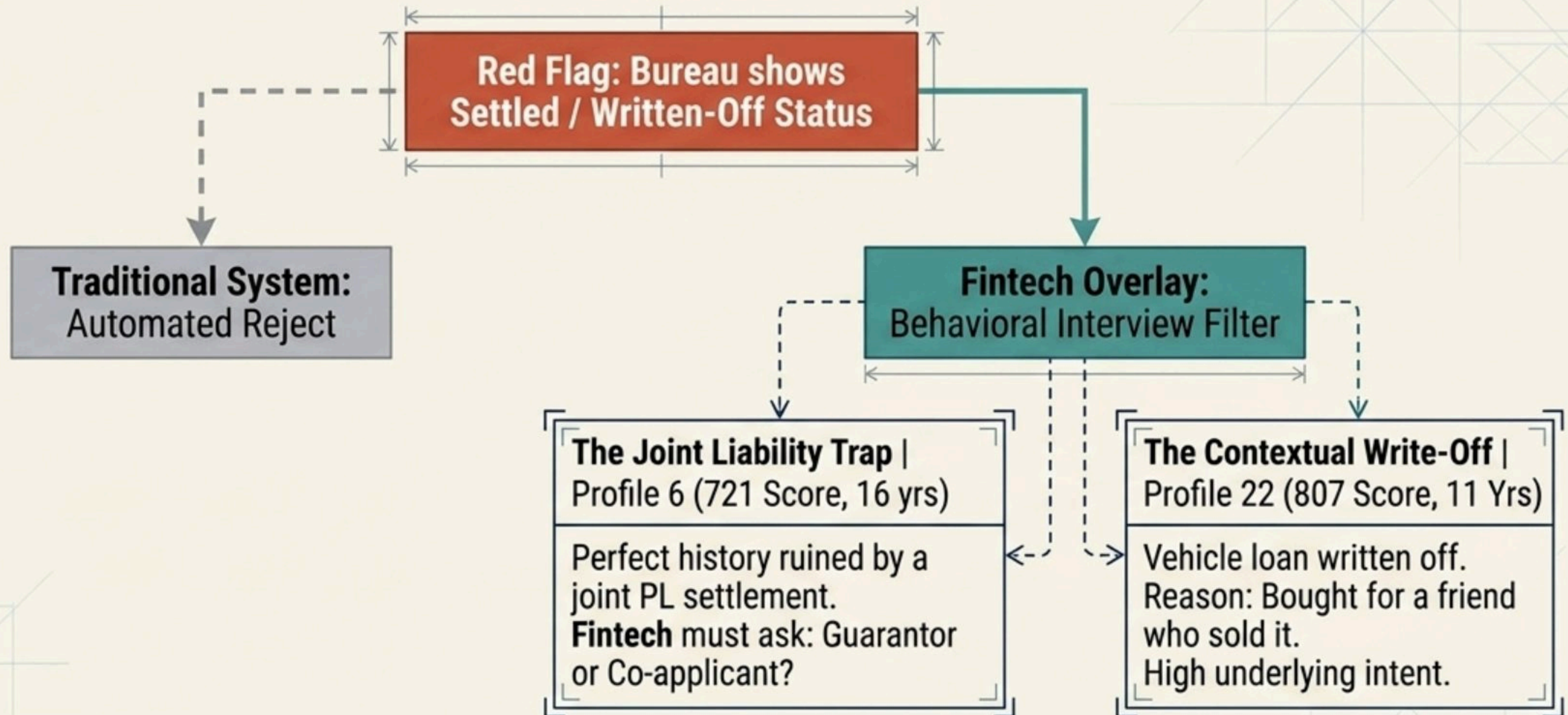
The Traditional Paradigm



The Behavioral Paradigm

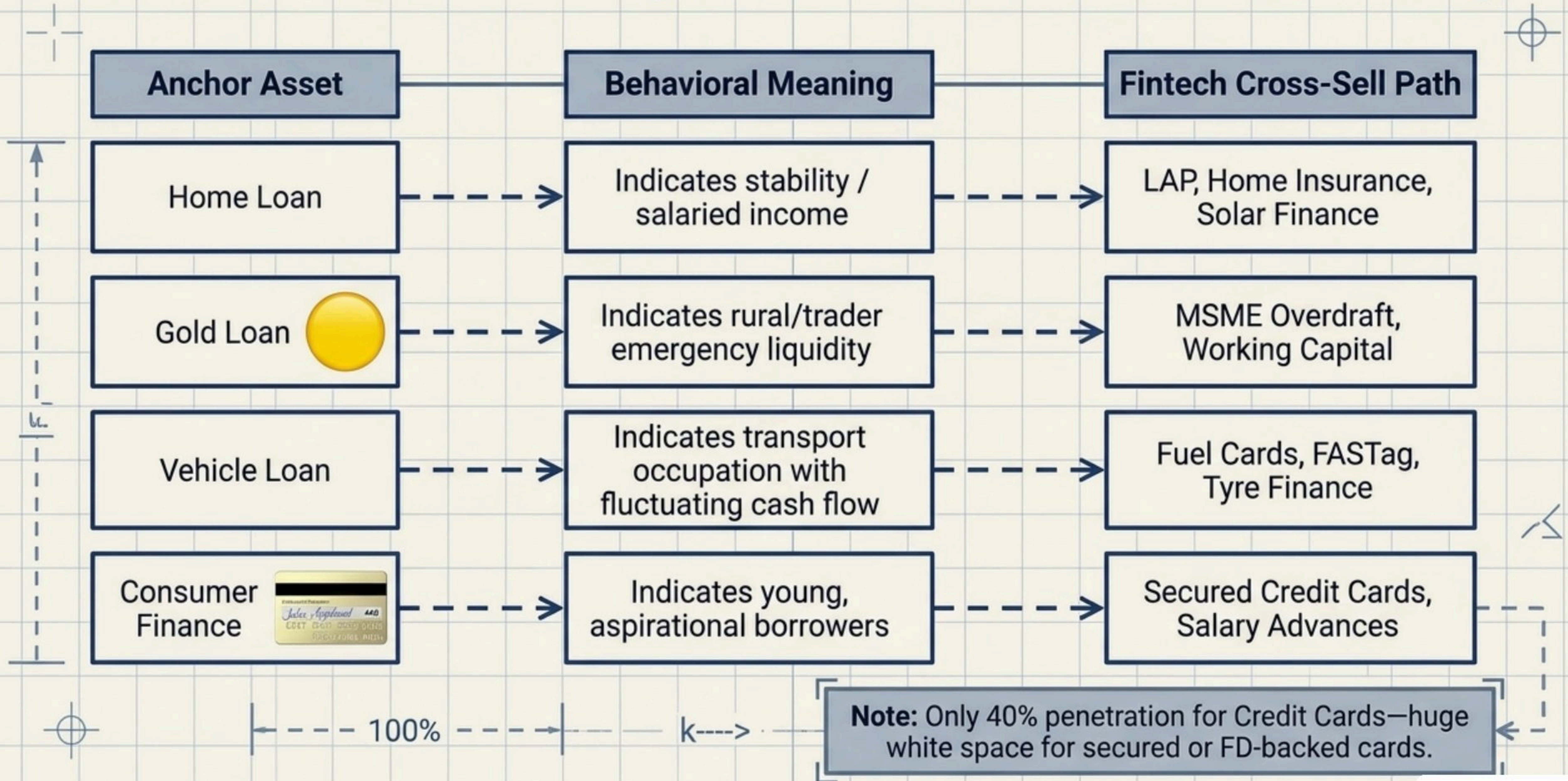


The Human Context: Why Automation Fails on Write-Offs

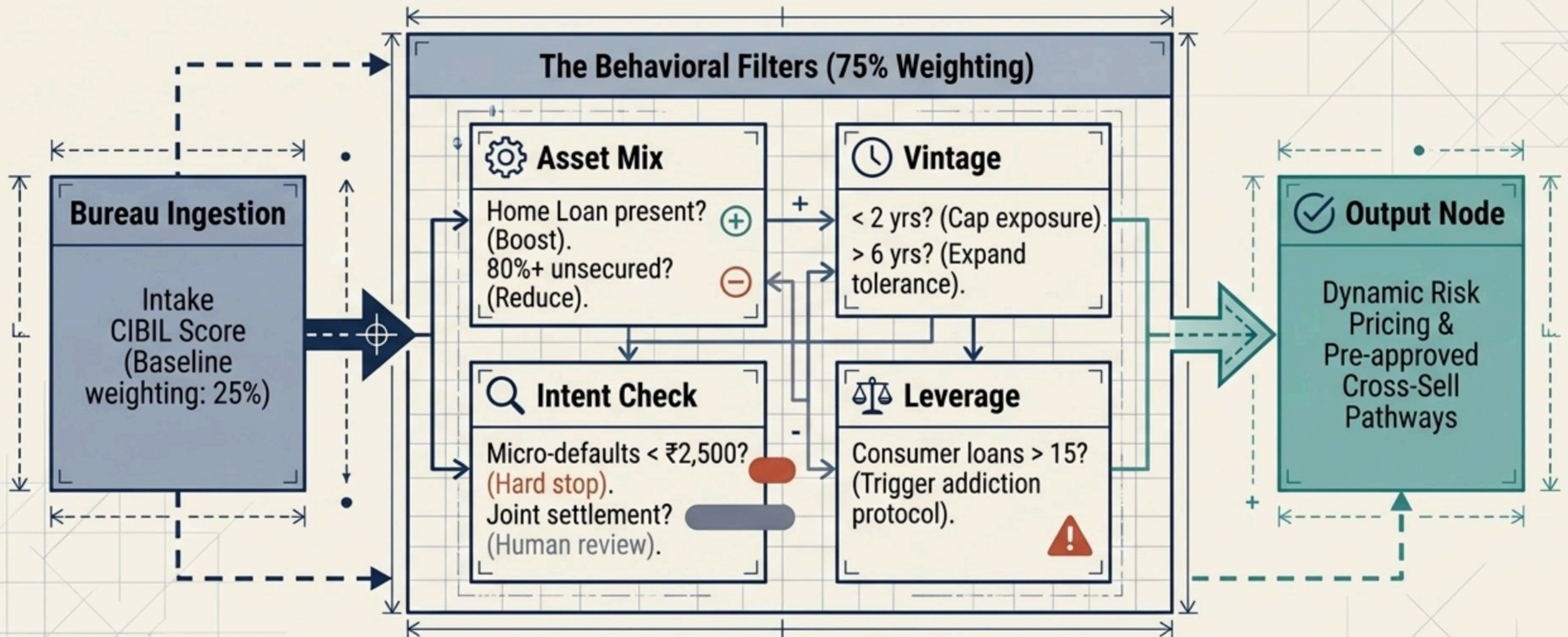


Key Takeaway: Written-off does not automatically mean fraud. Family issues or joint-liability traps require human context, turning traditional rejects into safe approvals.

The Monetization Playbook: Behavioral Cross-Selling



Master Synthesis: The Behavioral Underwriting Engine



This engine increases approval rates for deserving borrowers while choking off behavioral defaulters that traditional banks miss.

The New Paradigm of Tier-2 Lending



Tier-2 India is a secured, asset-backed market (75-80%), driven by behavior, not just financial capacity.

The most predictive risk indicators are micro-defaults, loan frequency (credit addiction), and credit vintage—not the raw CIBIL score.

Competitive advantage belongs to lenders who underwrite intent (repayment priority and context) rather than merely screening scores.

Don't just underwrite the capacity.
Underwrite the psychology.